

OCT/ NOV/2017 V12

1-A:

Development of renewable energy resource will be most effective as renewable energy resources can be used repeatedly and replaced naturally, examples of which include: solar energy and biomass .This is shown about in option A.

Planning the allocation of resources would not be as effective in dealing with scarcity of natural resources(option B).

Again, protecting land resources would not be as effective in dealing with scarcity of natural resources(option C)

Whereas, restricting imports of raw materials will further exacerbate the situation as imports can no longer fill the gap of shortage (option D)

Improvement in education and training helps to improve the quality of human resource, thus acting as an effective HR policy, which is why option A becomes correct.

Discouraging automation may encourage labor intensive techniques, but would not improve the quality of HR until and unless training or upskilling is done(option B)

Protecting jobs in manufacturing would not improve the quality of labour directly(option C)

Restricting influx of skilled workers would further exacerbate as scarcity of skilled labour cannot be fulfilled from labour abroad(option D)

This is why, option A becomes correct.

2-B:

A, C, D: A positive statement can be easily falsified and has a yes, no answer. In this case, questions such as : **how much will milk production increase, how will employment change, how will milk prices change** are all examples of positive questions

B: Another type of question is the normative question in which you do not ask how production is done , but instead you ask , **“How should essential products , such as milk, be produced?”**

This is why B becomes correct

3-C:

Since new strains have been introduced, the efficiency in “wheat production” will increase, and therefore the output of wheat will increase.

A: In this curve, there is a rightward shift shown in the PPC , but the output of both : wheat and furniture is increasing, which is incorrect

B: : In this curve, there is a rightward shift shown in the PPC , but the output of both : wheat and furniture is increasing, which is incorrect

C: Here the PPC has shifted in a way that the output of **wheat is increasing** , thus making option C correct.

D: Here, no increase in output of wheat is occurring; only the output of furniture is increasing, thus making it incorrect.

4-C:

A: Devaluation may lead to export-oriented goods appearing relatively cheaper in the international market, and this global competitiveness may bring about an extension in the international quantity demanded of exported goods, and that too by a relatively higher percentage, when the demand for them is elastic, which leads to an increase in export-revenues, relative to import expenditures which fall because now imported goods appear relatively expensive , which results in a contraction in qty demanded of imported goods. This leads to a Balance of Trade Surplus. **When more trade is being done, it is representative of the fact that money more effectively serves as a medium of exchange .**

The same goes for **option B**, as an increase in money supply leads to a fall in the interest rate and in turn “depreciation” of the exchange rate, which again facilitates trade.

C: A very high rate of inflation would lead to money failing to serve as a medium of exchange, as supplier will be receiving money with a lesser purchasing power, therefore he would be **unwilling to accept it as a medium of payments, which makes this correct.**

D: A very high rate of interest would reduce inflation due to it having a dampening effect on Aggregate demand , leading to it more effectively serving as a **medium of exchange**

5-D:

Changes in position of demand curve occur as a result of shift in the demand curve. This question asks us about option that does not bring changes in position of demand ,which means **we are interested in options that brings movement along the demand curve.**

A-An increase in incomes brings a shift in the demand curve, thus making this incorrect.

B-A reduction in price of hairdressing, that is a complementary good, will increase the demand for wigs, this again causes a change in position.

C-An increase in wigs worn by celebrities refers to an increase in demand, this changes the position of the demand curve.

D-A reduction in the price of wigs causes an extension in the qty demanded of wigs, thereby causing a movement along the demand curve, this is why this option is correct.

6-D:

- A- This talks about "Law of Demand" generally that quantity demanded responds to a change in price i.e. a rise in price brings about a contraction in quantity demanded, and a fall in price brings about an extension in quantity demanded.
- B- This also talks about Law of Demand that an increase in price brings about a decrease in quantity demanded.
- C- An increase in price may not induce customers to spend more on the product. Instead, it may decrease qty demanded by a relatively higher percentage when the demand is elastic.
- D- In case of elastic demand there is a negative relationship between price and Total Revenue, in that case a fall in price may bring about an increase in Total Revenue since there would be an extension in qty demanded by a larger percentage occurring, this why this is the answer.

7-B:



- A- D_2D_2 is less elastic ($PED = 1$) at point M as compared to D_1D_1 ($PED > 1$), which is why this option is incorrect.
- B- D_2D_2 is more elastic ($PED = 1$) at point N as compared to D_1D_1 ($PES < 1$), which is why this option is correct.
- C- The elasticity of demand **stays constant** at the unitary curve, whereas the elasticity of demand **decreases** from elastic to inelastic as we move down the linear curve. This is why, this option is incorrect.
- D- The elasticity of demand at point M on curve D_1D_1 is elastic, whereas it is unitary elastic on curve D_2D_2 , thereby making this option incorrect.

8-C:

A – Dollar revenues to house builders increased each year instead of declining since there is a rise in both :price and quantity supplied each year.

B- Since price elasticity of supply is falling each year, we can say that the responsiveness of producer is falling each year, this could be because each year the government released less land for building , instead of more land, thus making this option incorrect.

C – Since the value of price elasticities of supply is inelastic, this means that the percentage change in price was greater than the percentage change in quantity supplied, this is why this option is correct.

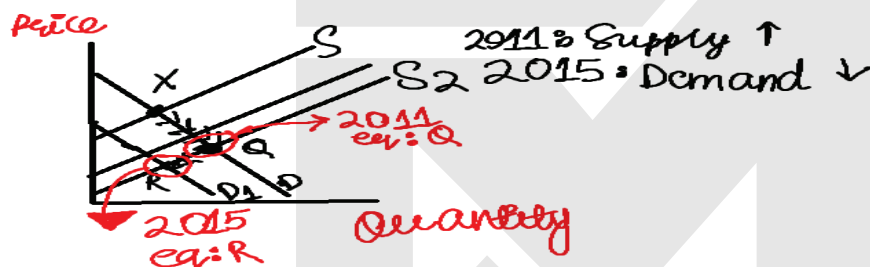
D – This cannot be the case since the supply is price-inelastic. This option represents unitary-elastic supply.

9-A:

In 2011, there is an increase in supply as miners increased production therefore an equilibrium point of Q was achieved.

In 2015, demand from the largest consumer, China decreased, this leads to a leftward shift in the demand curve and in turn an equilibrium point of R has been achieved.

This is why option A, that shows the series of equilibriums written in the bracket (X- Q – R) is the answer (note : X was the initial equilibrium)



10-B:

As can be seen in the table below buys 50 percent of the sales that is 16 units is the demand for X, if we add in another 16 in it, we will obtain the market demand that is 32, at the price level of 6, market demand of 32 (16+16) is equal to the market supply of 32, thus making option B answer, that says that the equilibrium price should be 6.

price	demand for X	market demand	market supply
4	20 + 20 $\Rightarrow$ 40 $\neq$	40 $\neq$	28
6	16 + 16 $\Rightarrow$ 32 $=$	32 $=$	32 ✓
8	12 + 12 $\Rightarrow$ 24 $\neq$	24 $\neq$	40
10	10 + 10 $\Rightarrow$ 20 $\neq$	20 $\neq$	45

11-A:

- A- Price mechanism can never be used in resource allocation of public goods, since it is never provided in the free market economy due to the existence of free rider problem .They are solely provided by the government , thus making it correct.
- B- Yes, not only price mechanism is used in markets of consumer goods, but also in the market of factors of production such as : capital goods , or in the market of raw materials as well, for example :cement in case of construction industry.
- C- Yes, through the rationing mechanism of price mechanism, only those with sufficient willingness and **“ability” or in other words, effective demand are left to purchase the good.**
- D- This represents the incentivizing function of the price mechanism , as price signals (increases in prices as a result of a rise in demand)lead to the producer being incentivized to produce the most “profitable good”.

12-B:

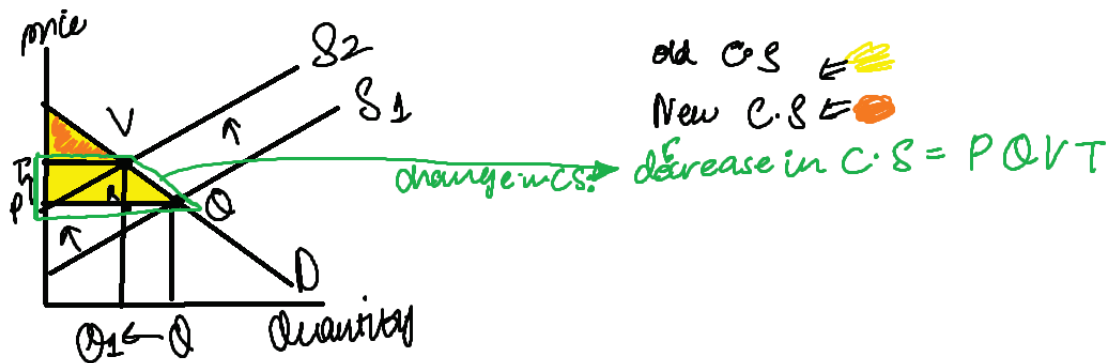
A:The amount of money that remains after consumers have made their purchases: This option describes the money left over after consumers have made their purchases. It does not capture the concept of consumer surplus, which specifically refers to the difference between willingness to pay and the actual amount paid for a good.

B) The difference between how much a consumer is willing to pay for a good and the amount paid: This definition accurately describes consumer surplus. It represents the additional value that consumers receive when they pay less for a good than the maximum price they were willing to pay

C) The difference between the amount of a good that's bought by a consumer and the amount consumed: This option describes the quantity difference between what is bought and what is actually consumed by a consumer. It does not capture the concept of consumer surplus, which focuses on the difference between the willingness to pay and the actual payment made.

D) The difference between the price paid for a good and the cost of producing it: This definition refers to producer surplus, which is the difference between the price received by producers for a good and the cost of producing it. It does not capture the concept of consumer surplus, which specifically relates to the benefits received by consumers.

13-A:



The diagram above explains why option A will be the answer.

14-C:

A-The government's attempt of imposing an effective maximum price would not lead to rich and poor satisfying their demands equally, only a limited number of consumers can acquire it on a first come, first served basis.

B-Imposition of maximum price does not certainly lead to prevention of illegal buying and selling through a black market, however it might increase the chances of black marketing.

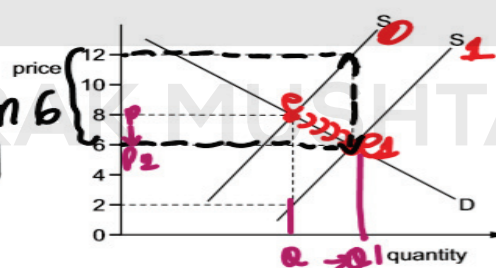
C-Maximum price legislation leads to an extension in quantity supplied and a contraction in quantity demanded of cereals thereby resulting in shortages. Now, rationing, that is, the practice of controlling the distribution of good or service by allotting a certain amount of cereals per week to individuals would be necessary to cope up with scarcity, and since it is a mandate of government, it would lead to a fair distribution of cereals, this is why it is correct.

D-There would be a shortage instead of a surplus, thus making it incorrect.

15-A:

15 The diagram shows the demand and supply curves of a commodity before and after a specific tax is removed.

* per unit tax is the vertical distance between the two supply curves.
(12-6=6)



What is the tax per unit of output and what is the price after the removal of the tax?

	tax per unit	price after the removal of the tax
A	6 ✓	6 ✓
B	6 ✓	8 ✗
C	4	6
D	4	8

16-D;



The diagram above explains why D will be correct.

- A- It won't be shared equally between producers and consumers, as the producers here receive most of the benefits.
- B- It would go entirely to the producer in case of **perfectly elastic demand**.
- C- The majority will go to the consumer in case of inelastic demand

17-D: Non-welfare spending has always exceeded welfare spending; this is because, welfare spending always forms a very small proportion of total-welfare spending, which means that, non-welfare spending forms a greater proportion of total spending.



What can be concluded from the diagrams about UK Government spending during the period 2005 to 2014?

- ~~K~~A Both forms of spending were cut in 2014. **No, total spending is constant in 2013 and 2014.**
- ~~K~~B Both total and welfare spending have risen continuously. **No, there is a fall in welfare spending in 2014.**
- ~~K~~C In 2005 welfare spending made up a quarter of total spending. **No, it does not make up a quarter of total spending.**
- ☒ D Non-welfare spending has always exceeded welfare spending. **Yes, it has always exceeded welfare spending.**

18-D:

The fact that government decides that health-services **should be provided for everyone, and not based on anyone's ability to pay** represents that **only government will provide it**

- A- Building government clinics to compete in the market represents provision by both: government and the market, which is not required.
- B- We do not want to close private clinics where provision by market is inadequate ; instead, we want to completely transfer **healthcare facilities in hands of the government.**
- C- Again, taxation is a form of government intervention which is not required here
- D- Yes, this is correct as nationalization will ensure that healthcare is only provided through direct provision.

19-A:

Reduction in total government expenditure represents reduction in injections into the circular flow, which will lead to a fall in Aggregate demand.

Similarly, schemes to increase labor productivity through training will lead to a reduction in costs, and an increase in Aggregate supply

This is how, a new equilibrium will be achieved from X to A.

This is why, A will be correct.

20-D:

20 The table shows the retail prices index for four countries for years 2 and 3.
(Year 1 index = 100 for all countries.)

Which country had a higher rate of inflation in year 2 than year 3?

country	year 2 index	year 3 index
A	100	115
B	110	132
C	120	144
D	130	150

16%
 20%
 20%
 15.4% → Higher in year 2 than in yr 3.

21-C:

- A- Although foreign-aid is a component of secondary incomes , that is included in the “ current account” , government's official reserves is a part of **financial account** , representing the foreign currency held by central banks.
- B- Current account has four components: Balance of trade in both : goods and services, primary incomes and secondary incomes .Government spending and revenue is not a part of any component.

- C- Imports and exports of goods and services represents Balance of trade that is a part of “current account”, thus making option C correct.
- D- Inflows and outflows of capital is not recorded in the current account; instead , it is recorded in the “capital account”

22-A:

Here the supply of the currency is increasing, which is leading to the exchange rate being depreciated and falling outside the band.

Now to maintain the exchange rate, either the demand of the currency will have to be increased or the supply will have to be decreased.

- A- Introducing controls on Chinese investment abroad will lead to a fall in the supply of yuan, leading to the value of the yuan to appreciate and be maintained within the band, thus making this correct
- B- Lower interest rates will result in a fall in the demand for yuan, as less hot money inflows will be attracted, and there will be a rise in the supply of yuan since domestic residents will take their money abroad for better returns, leading to further depreciation of the exchange rate
- C- Removal of tariffs will lead to more imports from the US, which will increase the supply of yuan, leading to further depreciation in the exchange rate.
- D- Again, selling yuan will lead to an increased supply of yuan, which will lead to depreciation of the yuan.

23-D:

By the end of the August, each pound can be exchanged for less dollars, representing that the pound has depreciated, and the US dollar has appreciated

- A- An increase in UK exports would have led to a rise in the demand for the currency , leading to appreciation of the pound sterling.
- B- An increase in UK interest rates would have led to a rise in hot money inflows , that would have also resulted in the appreciation of the pound sterling.
- C- Increase in the profitability of UK companies abroad would lead to an inflow of profits(primary incomes), resulting in a rise in demand for currency and appreciation of the pound sterling.
- D- Increasing size of UK national debt would result in more payments of interest being made, and this rise in the supply of the currency would result in “depreciation of the exchange rate”

24-C:

Terms of trade is the ratio of export prices to the ratio of import prices.

It is measured using the formula: $\text{Export prices} / \text{Import prices} * 100$.

This is why, option C will be correct.

25-B:

When X forms a customs union with Y, and imports cars from country Y that has a comparative advantage, an increased supply of imports of cars will lead to a fall in the price of **cars in country X**.

This represents a benefit arising from being a part of a customs union.

Similarly, since less qty of cars is available by country Y for country Z, there will be a shortage of cars, that would result in an increase in prices of cars in country Z.

26-C:

Country Y is producing a larger qty of output of "rice" as compared to country X, which means that Y has an absolute advantage in "rice", thus making option B incorrect

And since, both the countries are producing the same output of wheat, none of them has an absolute advantage, thus making option "A" incorrect as well

The opportunity cost ratio of country X producing 1 unit of rice is $(2000/2000)$ i.e. 1 wheat

Whereas, the opportunity cost ratio of country Y producing 1 unit of rice is $(2000/4000)$ i.e. 0.5Y wheat.

Since country Y is producing "rice" at a lower opportunity cost ratio, this means that country Y has a comparative advantage in rice, thus making option D incorrect.

This also means that country X has a comparative advantage in "wheat", thus making option C correct.

27-C:

A- Since the apple farmers found new markets in other countries, this means that the revenues would have been prevented from falling dramatically.

B- If apples can be stored for future sales, a dramatic fall in future sales would have been prevented.

D: If the Polish government purchases apples from the farmers to supply them to charities, this means that the farmers would not face a tremendous fall in revenues.

C: The action of Polish government placing a ban on imports represents a parallel reaction being taken, and since there is no action taken that would have assisted farmers, as with options A, B and D, farmers sales would not have been prevented from falling dramatically. This is why, option C will be correct.

28-B:

A) Curbing consumption through controls on credit: Curbing consumption through controls on credit refers to restrictive monetary policy, which aims to reduce borrowing and spending in

the economy , and “consumer spending” being limited , results in a fall in Aggregate demand , leading to the business activity being dampened.

B) Lowering reserve requirements of banks to increase lending: Lowering reserve requirements of banks is an expansionary monetary policy tool. By reducing the amount of reserves banks are required to hold, they have more funds available for lending. This increased lending will increase borrowings to finance consumption, which will increase Aggregate demand ,leading to business activity being stimulated.

C) Reducing government spending to achieve a budget surplus: Reducing government spending is a fiscal policy measure rather than a monetary policy tool. It involves cutting government expenditures to achieve a budget surplus, which decreases Aggregate demand.

D) Stimulating company investments by increasing interest rates: Increasing interest rates is a contractionary monetary policy tool. Higher interest rates make borrowing more expensive, which can discourage business investments leading to a dampening effect on Aggregate demand.

29-B:

A- If a country lowers tariffs, this will lead to an increase in volume of imports, leading to the deficit being exacerbated.

B – An increase in the rate of income tax will lead to a fall in the disposable income, which will lead to a fall in consumption expenditure even on imported goods, leading to a reduction in the deficit, making this option correct.

C – If a government removes export subsidies, this makes exports more expensive, and upon a fall in export revenues, the deficit will increase.

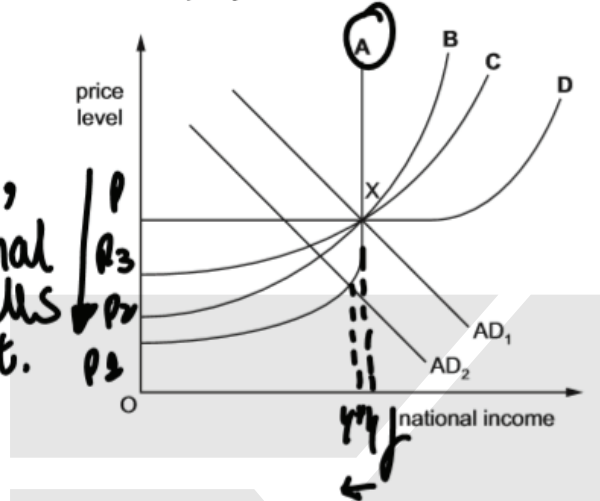
D - If a government revalues the exchange rate, this will result in imports becoming cheaper, leading to an extension in qty demanded of imports, leading to a rise in import expenditures relative to export revenues which fall since export-oriented goods becoming relatively expensive , which means that there will be a contraction in qty demanded of exports, therefore resulting in a Balance of Trade deficit. This is why ,this becomes incorrect.

30-A:

- 30 The diagram shows four possible aggregate supply curves and an equilibrium point X. A government employs deflationary fiscal policy in order to reduce the rate of inflation in its economy. This shifts aggregate demand to AD_2 .

With which AS curve would this policy be most effective?

greatest
fall in
inflation,
and national
income falls
the lowest.



ZARAK MUSHTAQ